

Question 1
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question

What is the correct comparison between the value of European, American, and Bermudan put options, if all other parameters are the same?

Select one:

- ☒ a. European = Bermudan = American
- ☐ b. European < Bermudan < American
- ☐ c. Bermudan < American < European
- ☐ d. American < European < Bermudan

[Clear my choice](#)

Question 2
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The 1-day Value at risk of a portfolio at 99% significance level is 3 (million) USD. How much is the 10-day VaR at 95% significance of the same portfolio, if the portfolio's return is supposed to follow a normal distribution with zero mean.

Select one:

- ☒ a. 6.7
- ☐ b. 5.2
- ☐ c. 9.5
- ☐ d. 2.3

[Clear my choice](#)

Question 3
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What could be the best definition of DSCR?

Select one:

- ☒ a. The EBITDA of a period over the debt principle-repayment of the period
- ☐ b. The free cash flow of a period over the debt service of the period
- ☐ c. The free cash flow of a period over the interest payment of the loan in the period
- ☐ d. The after-tax earnings of a period over the debt service of the period

[Clear my choice](#)

Question 4
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Consider a portfolio of two securities: one share of YYY stock and a bond that pays \$100 in one year. Suppose this portfolio is currently trading with a bid price of \$171.22 and an ask price of \$174.11, and the bond is trading with a bid price of \$95.5 and an ask price of \$97.9. In this case, what is the no-arbitrage price range for YYY stock?

Select one:

- ☒ a. It cannot be defined, because its price depends on the riskiness of the stock, which is unknown.
- ☐ b. 75.72 - 76.21
- ☐ c. 73.32 - 78.61
- ☐ d. 71.22 - 74.11

[Clear my choice](#)

Question 5
Not yet
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Which of the following statements is true?

Select one:

- ☒ a. According to the Two-Fund Separation Theorem for mean-variance investors, all investors should hold the same ratio of risky and riskless assets.
- ☐ b. Prospect Theory violates stochastic dominance in an example where several small-probability events with similar outcome are overweighted relative to a single outcome with slightly larger payoff.
- ☐ c. One of the key ideas of Prospect Theory is that people do not know probabilities exactly and hence overestimate small probabilities. This can be modeled by a probability weighting function.
- ☐ d. Allais's Paradoxon tells us that it is irrational to follow Expected Utility Theory.

[Clear my choice](#)

Question 6
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Read all the possible answers below!
A leasing has to be treated as a finance lease if...

Select one:

- ☒ a. Title to the property does not transfer to the lessee at the end of the lease term.
- ☐ b. All the other three answers are correct.
- ☐ c. The lease contains an option to purchase the asset at a bargain price that is substantially less than its fair market value.
- ☐ d. The lease term is 50% or less of the estimated economic life of the asset.

[Clear my choice](#)

Question 7

Not yet answered

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Which statement is true?

Select one:

- ☐ a. The averaging of the results from different valuation approaches does not lead to a meaningful result.
- ☒ b. Value drivers are calculated usually as part of the yearly accounting reporting process.
- ☐ c. Real life experience shows that, due to the resistance of the organisation, the M&A synergies linked to growth are easier to capture than those linked to cost cutting.
- ☐ d. Historical accounting statements should be modified before financial analysis for two reasons: 1. Suspected accounting fraud and 2. Recent changes in the accounting regulations.

[Clear my choice](#)

Question 8

Not yet answered

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Assume $WACC=10\%$, $r_D=5\%$, $t=20\%$, $D/V=40\%$, $ROIC=11\%$, $RONIC=12\%$, $g=6\%$, $Noplat=200$. Which statement is true?

Select one:

- ☒ a. Only that the cost of debt is 10.5%.
- ☐ b. Only that $K=54.5\%$.
- ☐ c. Only that the operational cost of capital is 10.4%.
- ☐ d. Only that the cost of equity is 13.5%.

[Clear my choice](#)

Question 9

Not yet answered

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Which of the following statements is false?

Select one:

- ☒ a. If the equilibrium prices of all assets are unique, then markets are complete.
- ☐ b. When investors have mean-variance preferences with heterogeneous beliefs, better informed investors can detect and exploit Alpha opportunities, but only on the expense of worse informed investors.
- ☐ c. Trade based on heterogeneous beliefs on financial markets can be interpreted as follows: I think stocks go up, you think they go down, let's trade!
- ☐ d. The efficient frontier is the set of all portfolios in the mean-variance opportunity set for which there is no other point in the mean-variance opportunity set that improves mean and variance.

[Clear my choice](#)

Question 10

Not yet answered

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Which of the following positions is not sensitive on volatility?

Select one:

- ☒ a. Long forward
- ☐ b. Straddle
- ☐ c. Short European put option
- ☐ d. Long American call option

[Clear my choice](#)

Question 11

Not yet answered

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Which statement is true?

Select one:

- ☒ a. The equity of a firm may have no less value than the total value of its assets.
- ☐ b. The terminal value formula for both the economic value added and the residual income method can be interpreted as calculating a growing perpetuity.
- ☐ c. Multiple-based valuation methods assume that the firm has the same business outlook as its peers.
- ☐ d. The DCF methods show the likely price a third-party buyer may pay for the given firm.

[Clear my choice](#)

Question 12

Not yet answered

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Which of the following statements is false?

Select one:

- ☒ a. For weakly monotonic utility functions the absence of arbitrage is equivalent to the existence of non-negative state price with at least one strictly positive state price.
- ☐ b. Differently from the standard CAPM, the Behavioral-CAPM with its risk-return decomposition captures the possible asymmetries among risk factors between up and down markets.
- ☐ c. Since markets are complete, in Bloomberg, you can choose like 5 models to price complicated options, each giving a different price.
- ☐ d. Risk neutral probabilities can be obtained by normalizing state prices in such a way that they sum up to one.

[Clear my choice](#)

Question 13

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What is the position of the bondholders in the Merton model?

Select one:

- a. Long put
- b. Short put
- c. Short call
- d. Long call

[Clear my choice](#)

Question 14

Not yet answered
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What does FRA mean?

Select one:

- a. Futures Regression Analysis
- b. Forward Rate Agreement
- c. Farrow-Ross-Abel model
- d. Forward Rate Arbitrage

[Clear my choice](#)

Question 15

Not yet answered
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Which of the following is NOT an operational risk?

Select one:

- a. IT breakdown
- b. Epidemic
- c. Conduct risk
- d. Raising the central bank base rate

[Clear my choice](#)

Question 16
Not yet answered
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Which type of ratios use data from the income statement and the balance sheet as well?

Select one:

- ☒ a. working capital turnover ratios
- ☐ b. interest coverage ratios
- ☐ c. classic leverage ratios (like in Miller-Modigliani theories)
- ☐ d. debt service coverage ratios

[Clear my choice](#)

Question 17
Not yet answered
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Which parameter(s) of the weighting function is/are to be estimated by the financial institution, if it applies the foundation internal ratings based approach for the calculation of the capital requirement for credit risk?

Select one:

- ☒ a. LGD, EAD
- ☐ b. LGD
- ☐ c. EAD, M
- ☐ d. PD

[Clear my choice](#)

Question 18
Not yet answered
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You are an owner of a firm. In which firm do you have a limited liability?

Select one:

- ☒ a. General partnership
- ☐ b. Sole proprietorship
- ☐ c. Partnership
- ☐ d. Corporation

[Clear my choice](#)

Question 19
Not yet answered
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What is typical for project loan financing?

Select one:

- ☒ a. Contract based financing
- ☐ b. Short maturities
- ☐ c. Financing is on a recourse basis
- ☐ d. Cheaper than standard loans

[Clear my choice](#)

Question 20
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The zero-coupon rate curve (continuously compounding) is flat at 5%. What is the fair price of a 3-year zero coupon bond?

Select one:

- ☒ a. 86,07%
- ☐ b. 105%
- ☐ c. 100%
- ☐ d. 95,12%

[Clear my choice](#)

Question 21
Not yet answered
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Which one of the followings is NOT a "standard covenant"?

Select one:

- ☒ a. pari passu
- ☐ b. negative pledge
- ☐ c. cross default
- ☐ d. no dividend payment is allowed

[Clear my choice](#)

Question 22
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The price of a down and out knock-out call option is 5. The price of the vanilla call with the same parameters is 7. What is the fair price for the down and in knock in call option with the same parameters?

Select one:

- ☒ a. 12
- ☐ b. 6
- ☐ c. 2
- ☐ d. zero

[Clear my choice](#)

Question 23
Not yet
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Which statement is true?

Select one:

- ☒ a. The criterion of uniformity states that we have to value all assets using the same methodology.
- ☐ b. The criterion of relevance applies for selecting the right DCF method for a valuation.
- ☐ c. During the terminal value period we usually assume that ROIC equals the operational cost of capital.
- ☐ d. The criterion of uniformity applies for calculating the selected multiples during a valuation process.

[Clear my choice](#)

Question 24
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How should we hedge a short stock call position?

Select one:

- ☒ a. Long stock
- ☐ b. Short stock
- ☐ c. Depends on whether the option is European or American
- ☐ d. Impossible to hedge

[Clear my choice](#)

Question 25
Not yet
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The Wiener process

Select one:

- ☒ a. is a Martingale and it is Markovian
- ☐ b. is a Martingale but it is not Markovian
- ☐ c. is not a Martingale but it is Markovian
- ☐ d. is not a Martingale and it is not Markovian

[Clear my choice](#)